Mosquito Squad

Franchise Decision Report

Source: 2025 Franchise Disclosure Document
Filed with the Wisconsin Department of Financial Institutions
Legal entity: Mosquito Squad Franchising SPE LLC
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Contents

1 Executive Summary

2 Decision Scorecard

3 Buyer-Fit Profile

4 Fee Burden Analysis

5 Item 19 Interpretation

6 Buyer-Side Economics Reality Check

7 Illustrative Payback Sensitivity

8 Investment Breakdown

9 System Health

10 Risk Signals

11 Peer Context

12 Discovery Day Diligence Script

13 Source & Methodology

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Executive Summary

Mosquito Squad has the most detailed disclosure in the mosquito pest control cohort. Its Item 19 provides per-territory revenue broken out by quartile, close and renewal rates, per-appointment and per-customer revenue, five years of systemwide growth data, and a 14-territory company-owned P&L showing $20.8M revenue with a 25.9% net margin. No other brand in this category gives a prospective buyer this much to work with.

The trade-off is that Squad is a mid-cost, mid-complexity brand that is still recovering from a rough 2022 (–10 net franchised units). The system has grown since (+4 in 2023, +9 in 2024), and 2024 saw zero terminations. But at 226 franchised outlets, it is smaller than Mosquito Authority (546) and Mosquito Joe (415), and the investment range ($162K–$220K) is inflated by a 12-month working capital estimate that most competitors quote at 3 months.

The graduated royalty (10%/9%/8%) rewards scale, and the local marketing cap ($50K/year) puts a ceiling on a cost that is uncapped at most competitors. The Massachusetts Attorney General marketing-claims action (2024) is a regulatory signal worth understanding — it affects how franchisees can advertise, not the franchise relationship itself.

Decision Scorecard

Quick-read assessment across key buyer decision dimensions. Ratings reflect this brand's position relative to the mosquito pest control cohort.

DIMENSION	RATING	SUMMARY
Entry cost burden	MIXED	Headline $162K–$220K is inflated by 12-month working capital. Core investment ~$78K–$103K. Franchise fee ($50K) is highest in cohort.
Ongoing fee burden	MIXED	#2 at lower revenue, #3 at higher. 26% at $300K. Graduated royalty and marketing cap reward scale.
System stability	MIXED	Recovering from 2022 contraction (–10 net). Zero terminations in 2024. Trajectory positive but 3-year net is only +3.
Revenue disclosure	STRONG	Best in cohort. Per-territory quartile data, company-owned P&L ($20.8M, 25.9% margin), close/renewal rates. Most actionable Item 19.
Disclosure quality	STRONG	Comprehensive, well-structured. Table numbering error is minor. Honest 12-month working capital estimate. Best overall FDD quality.
Downside risk profile	MIXED	Aggressive liquidated damages ($50K+ on termination). MA AG marketing-claims action. 15 company-owned territories create franchisor competition.
Buyer fit breadth	MIXED	Best for data-driven buyers who want to model before committing. Higher franchise fee ($50K) and complex royalty tiers narrow the entry profile.
Overall	MIXED	The data-transparency leader in the cohort. Mid-cost, recovering system, most useful Item 19 for buyer financial modeling.

OVERALL POSTURE

Mosquito Squad is the best-disclosed brand in this cohort and a reasonable mid-range option for a buyer who values data over cost minimization. The per-territory quartile data and company-owned P&L provide the strongest foundation for financial modeling of any brand reviewed. The system's 2022 contraction is a historical concern, not a current one — 2024 showed genuine recovery. The main risks are the aggressive liquidated damages clause, the 15 company-owned territories, and the regulatory signal from the MA AG action. None are disqualifying; all warrant Discovery Day investigation.

Buyer-Fit Profile

Best fit for

- **Data-driven buyer who wants to model before committing:** Squad's Item 19 provides more inputs for a financial model than any competitor. If you want to build a territory P&L from real data before signing, this is the brand that enables it.
- **Buyer planning to scale:** The graduated royalty (10/9/8%) and marketing cap ($50K) reward revenue growth. At $500K+, Squad's fee structure becomes competitive with brands that cost less at lower revenue levels.
- **Buyer comfortable with a recovering system:** The 2022 contraction and subsequent recovery are fully disclosed. If you believe the turnaround is real, you're buying into a system with positive momentum and room to grow.
- **Buyer in a non-Northeast market:** The 15 company-owned territories are concentrated in MA/NH/RI. Outside this region, there's no direct franchisor competition.

Weaker fit for

- **Budget-sensitive first-time buyer:** $50K franchise fee (highest in cohort) plus $15.5K–$21K in outfitting fees means $65K–$71K to the franchisor before any operating costs. Mosquito Authority enters for $25K–$45K.
- **Buyer who prioritizes system stability:** The 3-year net growth of +3 units is essentially flat. Authority (+22) and Joe (+43) have stronger growth records. The 2022 contraction is a historical fact that some buyers won't look past.
- **Buyer in the Northeast:** 15 company-owned territories in MA/NH/RI mean the franchisor is your neighbor and competitor. Territory protections need careful review.

Proceed only if

- You've gotten a satisfactory explanation for the 2021–2022 restructuring (14 reacquisitions, 12 terminations) and believe the recovery is durable.

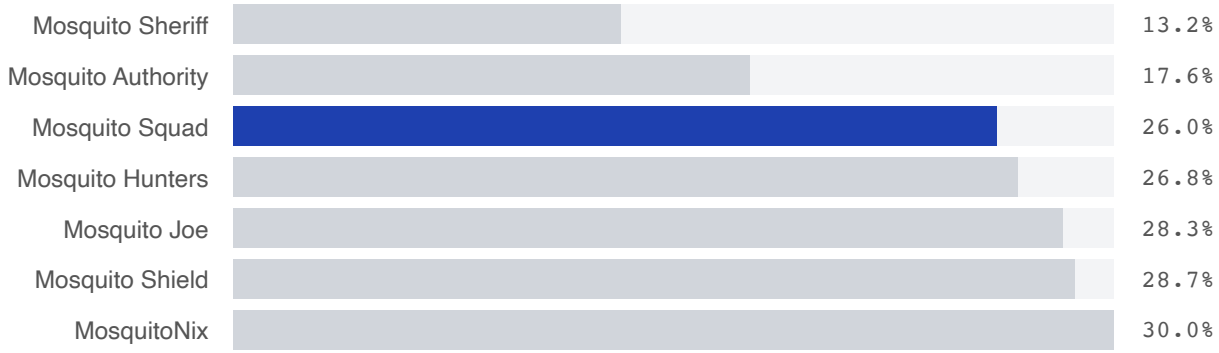
- You've understood the liquidated damages clause ($50K+ on termination) and accepted the exit cost.
- You've validated Q3 economics ($226K median per territory) with 3+ current single-territory franchisees — not just Q1/Q2 operators.
- If in the Northeast, you've confirmed territory protections against company-owned expansion.

Fee Burden Analysis

Mosquito Squad sits in the middle of the cohort on fee burden — second-lowest at $200K–$300K revenue, but third at higher levels where the graduated royalty tiers provide less relief than competitors' stepped structures. The marketing cap ($50K/year) is a distinctive feature: it's a cost ceiling that no other brand offers.

AT REVENUE	ROYALTY	MARKETING	TECH / OTHER	TOTAL	% OF REV	COHORT RANK
$200,000	$20,000	$39,200	$9,180	**$68,380**	34.2%	3/7
$300,000	$29,500	$39,200	$9,180	**$77,880**	26.0%	3/7
$400,000	$38,500	$44,200	$9,180	**$91,880**	23.0%	3/7
$500,000	$47,500	$54,200	$9,180	**$110,880**	22.2%	5/7

Cohort fee burden at $300K revenue



Total annual franchisor fees as a percentage of $300K gross revenue. Includes royalty, marketing, technology, and all mandatory recurring fees.

Component breakdown

- **Royalty (10%/9%/8% graduated):** 10% on first $250K, 9% on $250K–$500K, 8% above $500K per territory per calendar year. Minimum royalty begins Month 13: $650/mo (Y2), escalating to $3,000/mo (Y9+). The graduation rewards scale — at $500K revenue, effective rate is 9.5%. (pp. 19–20, 29)
- **Brand Fund ($150–$450/month, escalating):** Flat fee, not percentage-based. $350/mo at Year 5 ($4,200/year). Unusual structure — doesn't scale with revenue, which benefits high-revenue operators and costs low-revenue operators proportionally more. (p. 20)
- **Local Marketing ($35K floor / $50K cap):** Greater of $35,000 or 10% of prior-year Gross Revenue, up to $50,000. The cap is a rare feature — at $500K+ revenue, you hit the ceiling while competitors' obligations keep climbing. (pp. 20–21)
- **Website ($350/month):** $4,200/year. Can be increased 10% on 30 days' notice. (p. 22)
- **Technology ($60/month):** $720/year — covers branded email and required portals. Separately: ServiceMinder operational software at $280/month + $25/user, paid to vendor. Combined tech cost is ~$4,380/year. (p. 22)
- **Conference ($600/year):** Non-attendance penalties: $500 first miss, $2,000 each consecutive miss. (p. 25)

> **What this means:** At $300K revenue, Squad's $77,880 in total fees (26%) puts it between Authority ($52,800 / 17.6%) and Joe ($84,752 / 28.3%). The graduated royalty and marketing cap mean Squad's cost curve flattens at higher revenue — at $500K, Squad's 22.2% is competitive. The fee structure rewards growth more than any other brand in the cohort.

> **MARKETING CAP ADVANTAGE**
>
> Squad caps local marketing at $50,000/year. At $500K revenue, Mosquito Joe's marketing obligations are uncapped, and Mosquito Shield's local ad floor is $50K with no ceiling on other marketing components. The cap creates a predictable cost ceiling that matters increasingly as revenue grows.

Item 19 Interpretation

Mosquito Squad's Item 19 is the most comprehensive in the cohort — seven tables covering every dimension a buyer needs: per-territory revenue by quartile, operational conversion metrics, systemwide trends, and a full company-owned P&L. This section is long because there is genuinely a lot to interpret.

Per-territory revenue by quartile (Table 1)

Based on 207 franchised territories operating for the full 2024 fiscal year:

QUARTILE	TERRITORIES	AVERAGE	MEDIAN	HIGH	LOW
Q1 (top 25%)	52	$1,123,247	$955,075	$2,787,688	$656,078
Q2	52	$467,598	$443,197	$653,830	$317,881
Q3	51	$233,445	$226,114	$316,113	$165,032
Q4 (bottom 25%)	52	$108,907	$111,552	$164,719	$11,242
All territories	207	$484,506	$317,881	$2,787,688	$11,242

This is the only brand in the cohort that discloses **per-territory** revenue. The average ($484,506) and median ($317,881) tell different stories — the gap between them ($167K) signals significant right skew from top performers. The median is the more representative number for a prospective single-territory buyer.

Operational metrics

From 75 franchisees (183 territories) who reported via CRM and submitted year-end P&L:

- **Close rate: 48% average** (Q1 operators: 65%, Q4: 30%)
- **Renewal rate: 70% average** (median 69%, range 33%–90%)
- **Revenue per appointment: $98 average** (median $95)
- **Revenue per customer: $705 average** (median $715)

The 70% renewal rate is below Mosquito Joe's 77%. Combined with the 48% close rate, the business model requires replacing roughly 30% of customers each year — and converting fewer than half of leads. A buyer should expect significant ongoing marketing spend to maintain revenue, which aligns with the $35K+ local marketing obligation.

Company-owned P&L (14 territories, MA/NH/RI)

The best unit economics data in the entire cohort:

- Revenue: $20,843,565 (~$1.49M per territory)
- COGS: 47.7% — technician labor (23.4%), program costs (12.7%), marketing (7.3%), products (4.3%)
- Gross profit: 52.3%
- Operating expenses: 26.4% — admin personnel (16.2%), facilities (4.1%), professional fees (3.0%)
- **Net income: 25.9% ($5.4M)**

> **IMPORTANT CONTEXT FOR THE P&L**
>
> This is a 14-territory corporate operation, not a single-territory franchisee. The per-territory economics ($1.49M revenue, ~$386K net) are dramatically better than a typical single-territory franchisee will achieve — Q1 operators average $1.1M, most are below $500K. The P&L is most useful for cost ratios (what percentage goes to labor, chemicals, overhead), not absolute dollars. Company-owned territories do not pay royalty or brand fund fees, so a franchisee's cost structure will differ.

What to be careful about

Excluded territories: 29 of 236 territories were excluded from Table 1 (9 opened during year, 10 ceased, 10 added by existing franchisees). The 10 ceased territories are notable — these are units that stopped operating during 2024 and are not reflected in the revenue data.

Table numbering error: The company-owned P&L is labeled "Table 9" in the FDD but is the 7th table in Item 19. Minor formatting issue.

> **What this means:** A prospective single-territory buyer should plan around Q3 economics as a reasonable base case: $226K median revenue per territory. Q2 ($443K) is achievable with strong execution and a good market. The company-owned P&L provides cost ratios to build a realistic expense model — specifically the 23.4% technician labor ratio, which is the largest single cost line and directly applicable to a franchisee operation.

Revenue triangulation

Cross-checking revenue against operational metrics:

- At $705/customer (average) and Q3 median revenue of $226K: ~320 customers per territory
- At $98/appointment and Q3 median revenue: ~2,300 appointments per territory per year

- With 70% renewal rate: ~225 returning customers + ~95 new customers needed per year
- At 48% close rate: ~200 leads needed per year to acquire 95 new customers

This math is internally consistent and gives a concrete picture of the business at Q3 level: serve ~320 customers, deliver ~2,300 treatments, close ~200 leads, retain ~225 renewals. The marketing machine needs to generate roughly 4 qualified leads per week during the season to sustain this level.

Same-store growth: 195 territories that operated in both 2023 and 2024 showed 5% aggregate growth ($93.7M → $98.2M). This is a positive signal for existing operators — the business grows modestly with tenure, not just with new territory openings.

Buyer-Side Economics Reality Check

Important framing: This is not a profitability forecast. It is an illustrative scenario exercise using Mosquito Squad's per-territory revenue quartiles (Item 19 Table 1) combined with a 28% cost-of-goods estimate derived from the company-owned P&L (technician labor 23.4% + products 4.3%). The company-owned P&L shows 47.7% total COGS, but that includes marketing (7.3%) and program costs (12.7%) that partially overlap with franchisor fees. The 28% figure represents direct service delivery costs only. Your actual COGS will depend on your market, staffing model, and chemical costs.

SCENARIO	REVENUE	FRANCHISOR FEES	EST. COGS	REMAINING
Conservative (Q4 average)	$109,000	$37,278 (34.2%)	$30,520	**$41,202**
Moderate (Q3 median)	$226,000	$70,850 (31.3%)	$63,280	**$91,870**
Strong (Q2 median)	$443,000	$100,050 (22.6%)	$124,040	**$218,910**

Revenue from Item 19 per-territory quartile data. COGS at 28% (technician labor + products from company-owned P&L). Franchisor fees from fee burden model. 'Remaining' must cover: vehicle costs, insurance, storage/facilities, admin, marketing beyond mandatory programs, and your living expenses.

What the scenarios tell you

Conservative (Q4 average, $109K): After fees ($67K) and COGS ($31K), only $11K remains. This does not work as a standalone business. Q4 operators are either in ramp-up phase, operating part-time, or in distressed territories. At this revenue level, the minimum royalty ($650/mo in Year 2) is not yet binding, but the $35K local marketing obligation consumes 32% of revenue before any other cost.

Moderate (Q3 median, $226K): After fees ($71K) and COGS ($63K), $92K remains. After typical operating costs ($25K–$35K for vehicle, insurance, facilities, admin), an owner draw of $55K–$65K is plausible. This is a functional business — not luxury income, but a real livelihood. 51 of 207 territories (25%) are at or above this level within Q3.

Strong (Q2 median, $443K): After fees ($92K) and COGS ($124K), $227K remains. After operating costs, an owner draw of $150K+ is achievable. This is where Squad's graduated royalty starts paying off — the effective rate drops below 10%, and the marketing cap kicks in. 104 of 207 territories (50%) are at or above Q3 level.

> **THE COMPANY-OWNED BENCHMARK**
>
> The company-owned operation achieves 25.9% net margin at $1.49M/territory — but without paying franchisor fees. A franchisee at Q2 median ($443K) paying $92K in franchisor fees would see margins closer to 15–18% after all costs. This is still attractive, but roughly 8–10 percentage points lower than the company-owned P&L suggests. The P&L is useful for cost ratios, not for margin expectations.

What the buyer still needs to validate

- **Technician labor costs in your market:** The company-owned P&L shows 23.4% of revenue in tech labor. Verify whether this ratio holds in your geography — labor costs vary significantly by market.
- **Q3 achievability timeline:** Talk to 3+ current single-territory operators about how long it took to reach $226K+ revenue. The quartile data is a snapshot, not a trajectory.
- **Marketing spend effectiveness:** At Q4 revenue ($109K), the mandatory $35K marketing obligation is 32% of revenue. Ask whether the franchisor provides marketing support or optimization for territories at this level.
- **Seasonality reserves:** Revenue is concentrated in spring–fall. Plan for 3–5 months of minimal income. The 12-month working capital estimate in Item 7 reflects this reality.

Illustrative Payback Sensitivity

The table below shows how long it would take to recover your initial investment under different assumptions about annual owner draw (net income after all costs, fees, and operating expenses — but before personal taxes).

ASSUMED ANNUAL OWNER DRAW	CORE INVESTMENT (~$90K)	MID INVESTMENT ($162K)	HIGH INVESTMENT ($220K)
$30K (ramp years)	3.0 years	5.4 years	7.3 years
$60K (Q3 steady state)	1.5 years	2.7 years	3.7 years
$100K (Q2 target)	0.9 years	1.6 years	2.2 years

"Core investment" strips out the 12-month working capital to show payback on capital you wouldn't recover even if the business immediately generates cash. The "Mid" and "High" columns include the full Item 7 range — if you view the working capital as sunk investment rather than bridge funding, payback takes longer.

> **THE HONEST FRAME**
>
> If you reach Q3 economics ($226K revenue, ~$60K draw) by Year 3 and sustain it, payback on core investment occurs around Year 4.5. At the full mid-range investment ($162K), payback extends to Year 5.7. The key variable is how quickly you exit Q4 — the first 1–2 years of minimal income are the period where your personal reserves matter most.

Investment Breakdown

The headline range ($162K–$220K) is the highest in the cohort, but it is misleading. Squad includes 12 months of working capital in Item 7 ($84K–$117K), while most competitors include only 3 months. Adjusting for equivalent working capital assumptions, the comparable investment is roughly $100K–$130K — closer to the middle of the cohort.

CATEGORY	LOW	HIGH
Franchise Fee	$50,000	$50,000
Business Outfitting Fee	$9,500	$9,500
Operations Outfitting Fee	$2,000	$2,000
Truck Outfitting Fee	$4,000	$9,500

CATEGORY	LOW	HIGH
Travel and Living During Training	$1,000	$1,500
Vehicle	$0	$11,000
Vehicle Signage	$2,400	$3,500
Storage Facility	$0	$3,600
Computer Systems	$800	$2,000
Software	$355	$630
Telephone Services	$400	$700
Insurance	$7,000	$7,500
Professional Fees	$1,070	$2,140
Additional Funds - 12 Months	$83,855	$116,805
Total	**$162,380**	**$220,375**

What to know about the major line items

- **Franchise fee ($50,000 standard):** $35K for Micro territories (<350K pop). Extensive discount programs (Veterans 30%, Existing Franchisee 30%, Conversion 25–75%). Range collected in 2024: $24K–$53.5K, suggesting significant discounting in practice. (pp. 15, 18)
- **Pre-opening outfitting fees ($15.5K–$21K):** Business Outfitting $9,500 + Operations Outfitting $2,000 + Truck Outfitting $4K–$9.5K. These are paid to the franchisor and cover initial setup, equipment, and vehicle branding. (p. 30)
- **Additional Funds — 12 months ($84K–$117K):** This is the line that inflates the range. It includes local marketing obligations ($35K+), software fees, insurance, and operating expenses for a full year. Most competitors show 3 months here. The 12-month estimate is arguably more honest — it forces the buyer to plan for a full year of negative cash flow. (p. 31)
- **Vehicle ($0–$11K):** Assumes an existing vehicle; the range covers modifications and signage. (p. 30)
- **Insurance ($7K–$7.5K):** Higher than most competitors, reflecting the outdoor service nature of the business. (p. 30)

> **What this means:** Strip out the 12-month working capital and Squad's core investment (franchise fee + outfitting + vehicle + equipment) is roughly $70K–$95K. The franchisor is being transparent about how much cash you actually need for the first year — other brands quote lower investment ranges by hiding 9 months of operating costs in "Additional Funds" footnotes. The honest Item 7 is a feature, not a bug.

System Health

Squad's system health tells a recovery story. The franchise contracted by 10 units in 2022 (12 terminations, 3 non-renewals, only 5 openings) — the worst single year in the cohort. Since then: +4 in 2023, +9 in 2024, with zero terminations in 2024. The three-year net is +3 franchised units, essentially flat — but the trajectory is positive.

YEAR	OPENED	CLOSED	NET	END COUNT
2022	5	15	−10	213
2023	15	11	+4	217
2024	19	10	+9	226

The 2022 contraction

2022 was a rough year: 12 terminations, 3 non-renewals, 5 openings, net −10 franchised units. This followed a major 2021 event where the franchisor reacquired 14 territories (reflected in the 12,646% spike in company-owned revenue that year). The picture is one of a system that went through a significant restructuring — culling underperformers and absorbing territories — before stabilizing.

> **What this means:** The 2022 contraction is not a current-year risk signal. It's a historical restructuring. The relevant question is whether the post-2022 trajectory (+4, +9, zero terminations in 2024) represents genuine recovery or just a pause before the next correction. The 2024 data is encouraging — 19 openings, zero terminations, 13 signed agreements not yet open.

Transfer and exit activity

18 transfers in 2022, 14 in 2023, 12 in 2024 — declining but still active. Turnover rate improved from 13.9% (2022) to 9.5% (2024). In 2024, the exits were 3 non-renewals and 7 ceased operations, with zero terminations — suggesting voluntary departures, not franchisor enforcement.

Company-owned footprint

15 company-owned territories (MA, NH, RI), stable across the reporting period. This is the largest company-owned operation in the cohort and the basis for the P&L data in Item 19. The franchisor is a significant operator in its own system, which creates both alignment (they know the business firsthand) and potential tension (they compete with franchisees in the Northeast).

Risk Signals

Massachusetts Attorney General action (2024)

Assurance of Discontinuance with the MA AG (September 2024) over marketing claims: alleging that advertisements claiming barrier protection provides health benefits, is "natural" or "all-natural," eliminates a high percentage of dangers, may be used "worry-free," and uses "EPA-approved" pesticides violated the Massachusetts Consumer Protection Act. Not an admission of liability. Squad agreed to cease such advertisements, alert franchisees, and inform new MA franchisees. Collective cost: $13,000 for investigation.

> **What this means:** This is a marketing-language issue, not a franchise-relationship issue. But it affects how franchisees can advertise — certain claims that may have been part of standard marketing materials are now prohibited in Massachusetts and potentially challengeable in other states. Ask the franchisor what marketing materials were revised and whether similar actions are pending elsewhere.

Liquidated damages

On termination: the greater of 2 years' average Royalty Fees or $50,000. This is the most aggressive exit penalty in the cohort. At $300K revenue with ~$30K annual royalty, the penalty would be $60K. This creates a significant financial barrier to exit — you cannot walk away cheaply.

Entity structure

Mosquito Squad Franchising SPE LLC, within Authority Brands / Apax Partners. SPE (Special Purpose Entity) structure is standard for PE-backed franchise systems. Authority Brands operates multiple home-service brands (Benjamin Franklin Plumbing, Mister Sparky, One Hour Heating &

Air, DRYmedic, etc.). The multi-brand parent provides operational infrastructure but also means franchise royalty streams can be securitized and redirected.

Company-owned territory tension

15 company-owned territories generating $20.8M in revenue is a meaningful footprint. While this provides excellent P&L disclosure, it also means the franchisor directly competes with franchisees in the MA/NH/RI market. A buyer in the Northeast should understand whether company-owned expansion is planned and whether territory protections are sufficient.

Peer Context

Mosquito Squad occupies a distinctive position: mid-cost fees, the richest disclosure in the category, and a system that is recovering from a rough 2022. It's not the cheapest (Authority), not the largest (Joe), and not the fastest-growing (Shield). But it gives a buyer more data to make a decision than any competitor.

Direct contrast: Mosquito Authority. Authority is cheaper at every dimension ($25K/year less in fees at $300K, $108K less at the low investment end) and has zero terminations. But Authority's Item 19 doesn't provide per-territory revenue, and the company-owned P&L is a single location generating $384K. Squad's 14-territory, $20.8M operation gives a fundamentally richer picture of unit economics — even if the absolute numbers aren't directly applicable.

Closest comparison: Mosquito Joe. Similar system size, both PE-backed platforms. Joe's fees are higher ($85K vs $78K at $300K), Joe's Item 19 provides tenure-segmented data but not per-territory quartiles. Squad's per-territory quartile data is arguably more actionable for a prospective buyer than Joe's per-franchisee averages. Joe has better customer retention (77% vs 70%). The choice between Joe and Squad comes down to: do you want Neighborly's infrastructure at a premium, or Authority Brands' data transparency at a moderate price?

The data-transparency edge: Squad is the only brand where you can look at per-territory revenue distributions, company-owned cost structures, close rates, renewal rates, and per-customer economics in one filing. For a buyer who wants to build a financial model before committing, this is the most useful raw material in the category.

METRIC	MOSQUITO AUTHORITY	MOSQUITO HUNTERS	MOSQUITO JOE	MOSQUITO SHERIFF	MOSQUITO SHIELD	MOSQUITO SQUAD	MOSQUITONIX
System size	546	135	415	5	435	226	8

METRIC	MOSQUITO AUTHORITY	MOSQUITO HUNTERS	MOSQUITO JOE	MOSQUITO SHERIFF	MOSQUITO SHIELD	MOSQUITO SQUAD	MOSQUITONIX
Investment range	$54K–$127K	$141K–$170K	$150K–$192K	$79K–$81K	$120K–$157K	$162K–$220K	$121K–$157K
Fee burden at $300K	$52,800	$80,300	$84,752	$39,600	$86,000	$77,880	$90,100
% of revenue	17.6%	26.8%	28.3%	13.2%	28.7%	26.0%	30.0%
3-year net growth	+22	+8	+43	+5	+140	+3	+8
Recent attrition	1.8%	0.0%	5.7%	0.0%	11.1%	4.3%	28.6%
Royalty rate	10.0%	10.0%	10.0–7.0%	10.0%	8.0%	10.0–8.0%	10.0–7.0%

Decision overlay

Lowest-cost entry	Mosquito Authority — $54K–$128K. Squad's core investment is ~$78K–$103K (stripping 12-month working capital).
Lowest ongoing fee burden (established brands)	Mosquito Authority — 17–18% of revenue (2/7 in full cohort; 1st among brands with 100+ outlets). Squad is 26% at $300K — $25K/year more.
Richest disclosure depth	Mosquito Squad — Per-territory quartile revenue, company-owned P&L, close/renewal rates. Among the most actionable data sets for financial modeling in this cohort.
Strongest structure for scaling	Mosquito Squad — Graduated royalty (10/9/8%) and marketing cap ($50K) reward revenue growth. Fee burden decreases with scale.
Lowest attrition at scale	Mosquito Authority — Zero terminations in a 546-outlet system, +22 net 3-year. Squad: +3 net 3-year, recovering from 2022 contraction.

Richest company-owned benchmark	Mosquito Squad — $20.8M, 14 territories, 25.9% margin. No other brand provides comparable unit economics data at this scale.
Lowest-friction entry profile	Mosquito Authority — Lowest entry floor ($54K), fee deferral option. Squad's $50K franchise fee and complex royalty tiers are less forgiving for new entrants. Note: low friction to enter does not predict profitability.

Discovery Day Diligence Script

These questions are derived from specific findings in the Mosquito Squad 2025 FDD. Each includes context on why it matters and what to listen for.

1. The system contracted by 10 units in 2022 and 14 territories were reacquired in 2021. What triggered the restructuring?

Item 20, 2022 data. Item 19 Table 6 shows 12,646% company-owned revenue spike in 2021.

WHY IT MATTERS

A 14-territory reacquisition followed by 12 terminations is a major system event. Whether it was a strategic cleanup or a crisis response changes how you interpret the post-2022 recovery.

STRONG ANSWER SOUNDS LIKE

'We identified underperforming territories in [specific regions], reacquired some to stabilize service quality, and terminated franchisees who weren't meeting standards. Here's the timeline and outcome.' Specific, structured, demonstrates control.

WEAK / EVASIVE ANSWER SOUNDS LIKE

'We went through a transition period. The system is stronger now.' Vague, avoids explaining the scale of the restructuring.

FOLLOW-UP

Ask what happened to the 14 reacquired territories — were they resold, converted to company-owned, or closed? How many of the 2022 terminations were in the same regions?

2. The company-owned P&L shows 25.9% net margin on $20.8M. What would that look like adjusted for franchisee-level fees?

Item 19 Table 7 (labeled Table 9). Company-owned pays no royalty or brand fund.

WHY IT MATTERS

The P&L is the most useful in the cohort, but company-owned territories don't pay franchisor fees. A franchisee at equivalent per-territory revenue ($1.49M) would owe roughly $130K–$145K in additional fees. Understanding the adjusted margin tells you what your economics actually look like.

STRONG ANSWER SOUNDS LIKE

'At the average per-territory level, a franchisee would net approximately $[X] after fees. Here's how we walk prospective buyers through the adjustment.' Willing to do the math with you.

WEAK / EVASIVE ANSWER SOUNDS LIKE

'The P&L shows the business is very profitable. Franchisees do great.' Avoids the fee adjustment, implies company-owned margins are representative.

FOLLOW-UP

Ask for the COGS breakdown by line item. Specifically: is the 23.4% technician labor ratio achievable for a single-territory operator, or does it reflect multi-territory staffing efficiencies?

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3. The Massachusetts AG action required you to stop certain marketing claims. Which specific materials were revised, and have similar challenges been raised in other states?

Item 3, Assurance of Discontinuance (Sep 2024). Claims about 'natural,' 'health benefits,' 'EPA-approved.'

WHY IT MATTERS

If key marketing claims are now prohibited, franchisees need to know what language they can and can't use. Similar challenges in other states could further restrict marketing options.

STRONG ANSWER SOUNDS LIKE

'We revised [specific materials]. Here are the updated marketing guidelines. No similar actions pending in other states. Here's our compliance review process.' Transparent, proactive.

WEAK / EVASIVE ANSWER SOUNDS LIKE

'It was a Massachusetts-specific issue. We settled for $13K and moved on.' Dismissive, doesn't address the impact on franchisee marketing.

FOLLOW-UP

Ask to see the current approved marketing materials. Ask whether franchisees were consulted before the AOD was agreed to.

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4. The liquidated damages clause requires the greater of 2 years' royalty or $50,000 on termination. Has this been enforced, and is it negotiable?

Item 6, Liquidated Damages row. Most aggressive exit penalty in cohort.

WHY IT MATTERS

At $300K revenue, this penalty is ~$60K — a significant barrier to exit. If it's strictly enforced, it materially affects the downside risk of buying in.

STRONG ANSWER SOUNDS LIKE

'We've enforced it [X] times in the last 3 years. The clause is standard and not negotiable, but here's how it works in practice.' Transparent about enforcement history.

WEAK / EVASIVE ANSWER SOUNDS LIKE

'That's a standard franchise provision. We rarely have terminations.' Avoids the enforcement question.

FOLLOW-UP

Ask how many of the 2022–2024 terminations/non-renewals resulted in liquidated damages collection. Ask whether the clause survives a transfer (i.e., does a buyer inherit the obligation?).

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5. Q4 territories average $109K revenue. What support exists for operators in the bottom quartile?

Item 19 Table 1. 52 territories in Q4, low of $11,242.

WHY IT MATTERS

25% of territories are at or below $165K — a revenue level where franchisor fees ($68K at $200K) consume a disproportionate share. Understanding what happens to struggling operators tells you about the safety net.

STRONG ANSWER SOUNDS LIKE

'We have a performance improvement program. Q4 operators get [specific support: territory analysis, marketing assistance, operational coaching]. Here's the Q4-to-Q3 graduation rate.' Structured support with measurable outcomes.

WEAK / EVASIVE ANSWER SOUNDS LIKE

'Those are usually newer territories that haven't ramped yet.' Assumes all Q4 operators are early-stage without evidence.

FOLLOW-UP

Ask how many of the 10 territories that ceased operations in 2024 were in Q4. Ask what the average tenure of Q4 operators is.

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6. The 70% renewal rate is below Mosquito Joe's 77%. What is driving the 30% annual customer loss, and what programs exist to improve retention?

Item 19 Table 3. 70% average, range 33%–90%.

WHY IT MATTERS

Losing 30% of customers annually means you need to replace roughly 100 customers per year at Q3 revenue levels. The cost of acquiring 100 new customers at 48% close rate requires ~200 leads — this is why marketing obligations are $35K+.

STRONG ANSWER SOUNDS LIKE

'Retention varies by service type and market. Our top quartile retains 85%+. Here's what they do differently and how we're implementing that system-wide.' Acknowledges the issue, shows improvement plan.

WEAK / EVASIVE ANSWER SOUNDS LIKE

'70% is strong for a seasonal service business.' Accepts the rate without addressing the cost of churn.

FOLLOW-UP

Ask whether retention rates have improved or declined over the past 3 years. Ask for retention broken out by single-territory vs multi-territory operators.

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7. The Brand Fund is a flat fee ($150–$450/month) rather than a percentage. What does it fund, and how are spending decisions made?

Item 6, Brand Fund. Escalates from $150 (Y1) to $450/mo (Y7+).

WHY IT MATTERS

Flat-fee brand funds are unusual — they don't scale with system revenue, which means the fund grows only as franchisee count grows. Understanding what it funds and how it's governed tells you whether you're paying for value or just a line item.

STRONG ANSWER SOUNDS LIKE

'The Brand Fund supports [specific programs: national digital campaigns, brand development, conference]. Spending is reviewed by the franchisee advisory council. Here's last year's fund report.' Governance and transparency.

WEAK / EVASIVE ANSWER SOUNDS LIKE

'It supports the brand.' No specifics, no governance detail, no spending report.

FOLLOW-UP

Ask for a breakdown of Brand Fund spending. Ask if franchisees have voting input on fund priorities.

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8. 15 company-owned territories generate $20.8M in the Northeast. Is company-owned expansion planned, and how do territory protections work for franchisees in adjacent markets?

Item 20 Tables 3-4. 15 company-owned stable across 3 years. MA (9), NH (3), RI (2).

WHY IT MATTERS

A franchisor that operates 15 territories is a significant competitor to its own franchisees in the region. Territory encroachment risk is higher when the franchisor has operational infrastructure and incentive to expand company-owned.

STRONG ANSWER SOUNDS LIKE

'No company-owned expansion planned. Franchisee territories have [specific protections: minimum population, geographic boundaries, non-compete radius]. We haven't converted any franchised territory to company-owned since [date].' Concrete protections.

WEAK / EVASIVE ANSWER SOUNDS LIKE

'Our company-owned territories are in a different market. There's no conflict.' Ignores the structural incentive.

FOLLOW-UP

Ask whether the 14 territories reacquired in 2021 were converted to the current 15 company-owned. Ask if Item 12 territory protections include a right of first refusal on adjacent territories.

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9. Franchised revenue declined -6% in 2022 but recovered to +7% in 2024. What drove the decline, and is the recovery sustainable?

Item 19 Table 6. Same-store growth 5% in 2024 (195 territories).

WHY IT MATTERS

A system-level revenue decline followed by recovery could reflect either a one-time disruption or structural volatility. The 5% same-store growth is positive, but one year doesn't prove a trend.

STRONG ANSWER SOUNDS LIKE

'The 2022 decline was driven by [specific factors: reacquisitions removing revenue, territory closures, market conditions]. 2024 same-store growth of 5% reflects [specific improvements: better marketing programs, service expansion, pricing]. We expect [realistic outlook].' Honest about causes, specific about recovery drivers.

WEAK / EVASIVE ANSWER SOUNDS LIKE

'2022 was an off year. We're back on track.' No specifics, assumes recovery is self-evident.

FOLLOW-UP

Ask for 2025 year-to-date same-store growth data if available. Ask whether the recovery is concentrated in specific regions or broad-based.

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10. The minimum royalty escalates to $3,000/month by Year 9. How many current franchisees are paying the minimum versus the percentage?

Item 6, Royalty Fee. Minimums begin Month 13, escalate through Year 9+.

WHY IT MATTERS

If you're paying the minimum royalty ($36K/year at Year 9+), it means your revenue is below $360K — a level where $36K in royalty alone is already 10%+. Understanding how many operators are at the minimum tells you about the bottom of the system's economics.

STRONG ANSWER SOUNDS LIKE

'[X]% of franchisees currently pay the minimum. Most hit the percentage threshold by Year [Y].' Specific data, willingness to share system distribution.

WEAK / EVASIVE ANSWER SOUNDS LIKE

'The minimum is there to ensure commitment. Most franchisees exceed it quickly.' No data, implied dismissal.

FOLLOW-UP

Ask whether the minimum royalty has ever been waived or deferred for struggling operators.

Source & Methodology

Source document: Mosquito Squad 2025 Franchise Disclosure Document, filed with the Wisconsin Department of Financial Institutions. ~230-page regulator-source PDF. SHA-256:
`b176969051509bc58513af2f3870f80d96107ee5a48ccc16f43070bf5ce88c97`

Extraction: Structured data extraction using pdfplumber with manual review. Field-level provenance recorded (source year, state, page number, item reference). Extraction confidence: high (3+ fields spot-checked against source).

Fee modeling: Year 5 assumptions, single territory, 1 owner + 1 technician. Revenue distributed evenly across the year. All mandatory fees enforced. See fee_modeling_framework.md for full methodology.

Economics scenarios: Revenue estimates drawn from Item 19 data. COGS ratio is brand-specific (derived from available company-owned P&L data; see Economics section for derivation and assumptions). Scenarios are illustrative, not predictive. Operating costs beyond franchisor fees and COGS are not estimated — the buyer must validate these independently.

Peer comparison: Same methodology applied to all 7 brands in this cohort (Mosquito Authority, Mosquito Hunters, Mosquito Joe, Mosquito Sheriff, Mosquito Shield, Mosquito Squad, MosquitoNix). All from 2025 FDDs filed with Wisconsin DFI.

Disclaimer: This report is not legal advice, investment advice, or a recommendation to buy or avoid this franchise. It is a structured analysis of publicly available regulatory filings. The buyer should read the actual FDD, consult a franchise attorney, and conduct their own due diligence before making any investment decision. Economics scenarios are illustrative frameworks for buyer-side thinking — not profitability forecasts.